



INITIATING COVERAGE · SPACE EXPLORATION TECHNOLOGIES CORP · NASDAQ: SPCX

Priced for Mars: the \$1.77 trillion IPO embeds the bull case and then some.

We initiate on SPCX at **AVOID / do-not-chase** with a 12-month base-case fair value of **\$66** versus the \$135 IPO and ~\$150 first-trade. SpaceX is a genuinely exceptional franchise — a launch monopoly, a hyper-scaling Starlink, and a newly merged frontier-AI arm — but at ~90× trailing revenue and deeply FCF-negative, the listing prices in flawless execution across three moonshots at once. The risk/reward is asymmetric to the downside. Data shows the figures; "we" denotes the Fund's view.

\$135IPO PRICE · ~\$1.77T
EQUITY**\$66**

TON618 FAIR VALUE (PT)

-51%

PT VS. IPO

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01 Executive Summary

Recommendation: AVOID at IPO. Fair value \$66 (base), with a bull case of \$128 that still sits below the \$135 print. We would revisit constructively below ~\$55 or on evidence the AI segment clears its cost of capital. The franchise is not the question; the price is.

Price-target triad (probability-weighted)

SCENARIO	PROB.	SEGMENT EV	EQUITY	PER SHARE	VS. IPO
Bull — global telecom utility + Starship + top-3 AI lab	25%	\$1,600B	\$1,680B	\$128	-5%
Base — Starlink scales, Space breakeven, AI optional	50%	\$640B	\$720B	\$55	-59%
Bear — ARPU erosion, capital intensity, AI burn	25%	\$280B	\$360B	\$27	-80%
Probability-weighted	100%	—	—	\$66	-51%

Net cash of ~\$79.5B (post-IPO cash ~\$99.5B less ~\$20B est. debt) added to segment EV in each scenario. Shares: 13.08B Class A+B.

Investment thesis

- **The numbers do not yet support the price.** ~\$18.7B FY25 revenue, an operating loss, and ~\$19.6B of investing outflow against ~\$6.8B operating cash flow. At ~90× revenue, SPCX is the most expensive mega-cap on any conventional metric.
- **Starlink is the real engine — and it is decelerating in price.** Connectivity revenue +49.8% to \$11.4B with \$7.2B segment adjusted EBITDA, but ARPU has fallen from \$99 to \$66 as the mix turns consumer. Volume is winning; price is not.
- **The xAI merger is a financing event as much as a strategy.** A cash-burning frontier-AI arm was bolted on in February 2026 and is the named first use of the \$74.4B of proceeds. It is optionality, not earnings.
- **Control is absolute.** Elon Musk holds >50% of votes via 10-vote Class B; SPCX is a controlled company exempt from key Nasdaq governance rules. Key-person and governance risk are structural, not incidental.
- **We are with Morningstar, not Oppenheimer.** Our independent SOTP (\$66) corroborates the Street's bear (\$63) far better than its bull (\$190). Average sell-side PT (\$139) ≈ the IPO — i.e., consensus already requires the optionality to pay off.

Answers to the framing questions (\$0)

Purpose & durability. The mission — multiplanetary life, global connectivity

— is real and reflected in capital allocation (reusability, constellation,

Starship). Durability of the *launch* edge is high; durability of *Starlink pricing* is the open question.

Proprietary technology. Genuinely defensible: booster reusability, a 10M-subscriber laser-mesh constellation, vertical integration. Not a commodity with a logo. The AI arm's defensibility is unproven.

The story the numbers tell. A profitable, hyper-growth connectivity utility is funding two capital sinks (Starship, AI). Strip them out and Starlink is a great business; consolidated, the entity is FCF-negative by design.

Right valuation lens. Sum-of-the-parts, because the three segments sit at different life-cycle stages. A single consolidated multiple is meaningless here.

3-input gearing. Value $\approx f(\text{Starlink net adds} \times \text{terminal ARPU} \times \text{terminal margin})$. Those three move ~80% of the defensible value; Starship and AI are call options on top.

Where the leverage is. Operating leverage in Connectivity (fixed constellation, marginal subs near-free) — the single greatest sensitivity, and the crux of the bull case.

Embedded expectations. The \$135 price requires ~\$100B of steady-state FCF — ~\$340B revenue, a ~27% CAGR sustained 12 years. Possible; not probable.

Bull / bear, steelmanned. Bull: Starlink becomes the planet's broadband layer, Starship collapses \$/kg, xAI compounds — \$1.6T+. Bear: ARPU erodes, Kuiper competes, capital intensity persists, Musk risk crystallizes — <\$400B.

Key metrics

METRIC	FY2023	FY2024	FY2025	Q1'26
Revenue (\$M)	10,387	14,015	18,674	4,694
Revenue growth	—	+35%	+33%	+15%
Operating income (\$M)	(3,505)	466	(2,589)	(1,943)
Net income (\$M)	(4,620)	791	(4,937)	(4,279)
Operating cash flow (\$M)	4,520	5,776	6,785	1,047
Investing cash flow (\$M)	(4,860)	(10,790)	(19,570)	(16,700)
Cash & restricted (\$M)	—	4,690	11,501	25,124

02 Investment Context

The listing arrives into a liquidity-rich, risk-on tape — the conditions under which the largest IPO in history (\$75B raised) can clear at a fixed \$135 and open +11% at \$150. That same liquidity sensitivity is the macro risk: a ~90×-revenue, long-duration equity is acutely exposed to the rate and liquidity regime. Rising real yields compress exactly this kind of terminal-value-heavy name first.

Relevance to the Fund's mandate. TON618 Capital is a Bitcoin fund; SPCX is *not* a BTC-correlated instrument (unlike MSTR or COIN). Its relevance is twofold: (i) as a liquidity-regime barometer — a richly-valued, long-duration risk asset whose drawdowns would likely coincide with BTC risk-off; and (ii) as a potential *short / hedge* candidate against long-duration tech beta, given the asymmetric valuation. We hold no position. Any expression would be a hedge overlay, not a core sleeve.

03 Company Overview & Business Model

Space Exploration Technologies Corp. (founded 2002, Hawthorne CA; now incl. xAI post the February 2026 merger) operates three reportable segments:

\$7.1B

SPACE / LAUNCH — FY25
REV

\$11.4B

CONNECTIVITY /
STARLINK — FY25 REV

~\$0.2B

AI / XAI — FY25 (PARTIAL)

- **Space (Launch):** Falcon 9/Heavy (reusable, dominant global launch share), Dragon, and Starship (in ramp). Revenue model: commercial & government launch services, national-security missions. Segment adjusted EBITDA positive on a sustained basis since 2018; swung to an operating loss in 2025 on Starship investment.
- **Connectivity (Starlink):** consumer, enterprise, mobility (maritime/aviation) and government broadband via a LEO laser-mesh constellation. Subscription revenue; 10.3M subscribers across 164 countries. The profit engine.
- **AI (xAI):** Grok models, the X platform, and a GPU compute build-out. Acquired Feb 2026; consolidated; pre-profit. The named first use of IPO proceeds ("AI compute infrastructure").

Capital structure & control. Dual-class (Class A = 1 vote; Class B = 10 votes) plus a non-voting Class C created at IPO. Musk beneficially owns 849.5M Class A and 5,569.1M Class B (incl. 350M underlying options) — >50% of votes. ~\$99.5B pro-forma cash; debt includes legacy X notes (\$0.7B 3.875% '27s, \$1.0B 5.0% '30s) plus term loans and GPU financing. Founder ownership is a strength (alignment, long horizon) and a risk (key-person, entrenchment) in equal measure.

04 Competitive Positioning & Moat

Wide moat — Launch

A durable cost- and -cadence monopoly. Reusability gives SpaceX a structural \$/kg advantage no Western competitor has matched; national-security launch and NASA crew/cargo entrench it. Erosion vector: Starship execution missteps, or a credible reusable competitor (Blue Origin) at scale — both multi-year, low-probability near-term.

Narrowing-to-wide moat — Starlink

First-scaled LEO broadband: network of inter-satellite lasers, spectrum priority, and a manufacturing lead. Moat source is scale + spectrum + capital intensity. Erosion vector is real and named: **Amazon Kuiper** and state-backed constellations, plus the ARPU erosion the data already shows. Pricing power is unproven at the consumer tier.

Porter, briefly. Supplier power low (vertical integration). Buyer power rising in consumer broadband (commoditizing). New-entrant threat high in capital terms but gated by spectrum and launch access — which SpaceX itself controls. Substitutes (terrestrial fiber/5G) strong in dense geographies, weak in the underserved markets Starlink targets. Net: a wide moat in launch, a contested but leading moat in connectivity.

05 Proprietary Technology Assessment

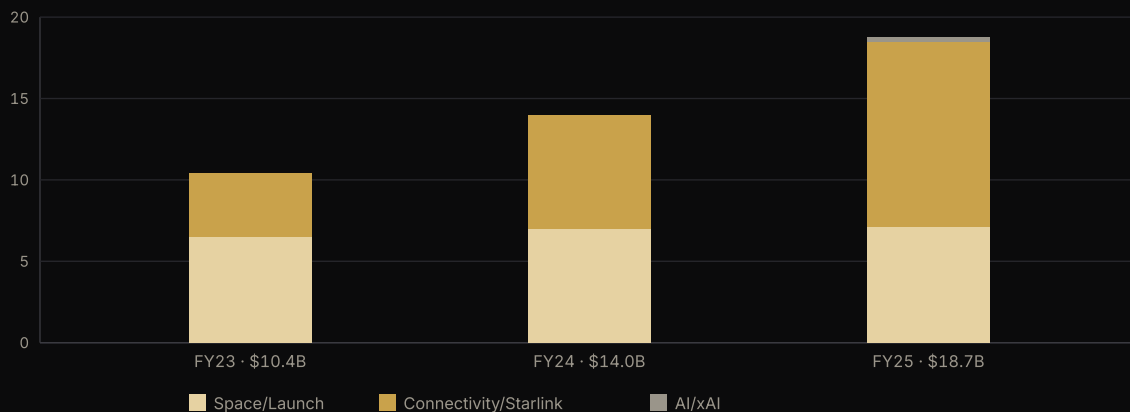
Genuinely proprietary, not a commodity stack with a logo:

- **Booster reusability** — the defining cost lever; a decade-plus operational lead and a flywheel (each flight compounds reliability data).
- **Laser-mesh constellation** — inter-satellite optical links and vertically-integrated user terminals; a 10M-subscriber data/network advantage that compounds with density.

- **Starship** — fully -reusable super -heavy lift; if it works, a step -change in \$/kg that opens new markets (mass constellation refresh, point -to -point, lunar/Mars). High technical risk; enormous optionality.
- **AI flywheel (xAI)** — the bull -case claim is a data (X) × compute × distribution (Starlink) loop. Unproven; the defensibility of frontier models is the most contested question in technology. We assign it option value, not franchise value.

R&D is heavy and largely expensed; the build -out shows up as the ~\$19.6B investing outflow, not the income statement. Third -party dependence (GPU supply for AI; spectrum/regulatory for Starlink) is the principal platform risk.

06 Financial Statement Analysis

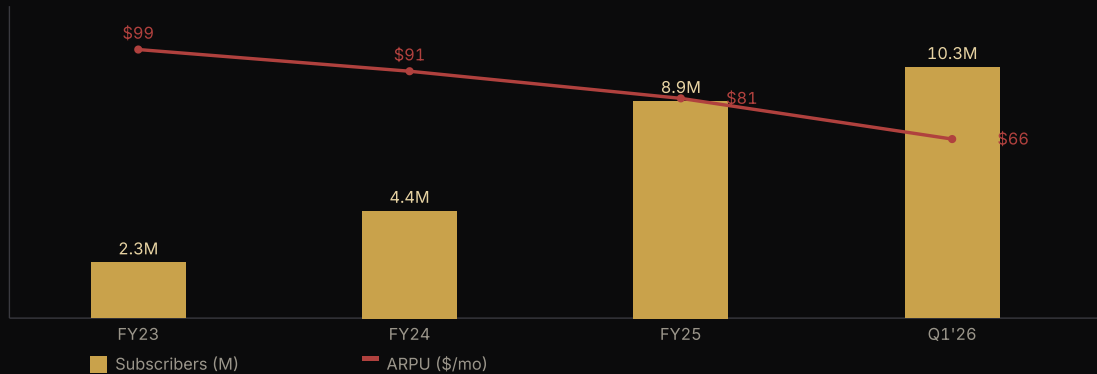


Revenue by segment, FY2023–FY2025. Starlink overtakes launch in 2024 and drives all incremental growth. Source: S-1/A.

- **Growth, decelerating in rate:** +35% (FY24), +33% (FY25), +15% YoY in Q1'26. Connectivity (+49.8%) masks slower launch.
- **Margins:** consolidated operating margin negative ((13.9)% FY25) as Starship + AI absorb Starlink's profit. The 2024 net profit (\$791M) was the exception, not the trend.
- **Cash quality:** OCF is real and growing (\$6.8B FY25), but capex/investing (~\$19.6B) dwarfs it — the entity is structurally FCF -negative and funded by financing (+\$26.4B FY25).
- **SBC & dilution (critical):** weighted shares rose 2,759M→3,884M; the xAI and Swarm equity plans were assumed; ~\$460M cash paid for RSU net -settlement post -Q1. We treat SBC as a real, dilutive cost in the model — fully -diluted count, not adjusted -away.

- **Balance sheet:** total assets \$92.1B (Q1'26); ~\$25.1B cash pre-IPO, ~\$99.5B pro forma; modest debt. Liquidity is not the risk — returns on the deployed capital are.

07 KPIs & Unit Economics



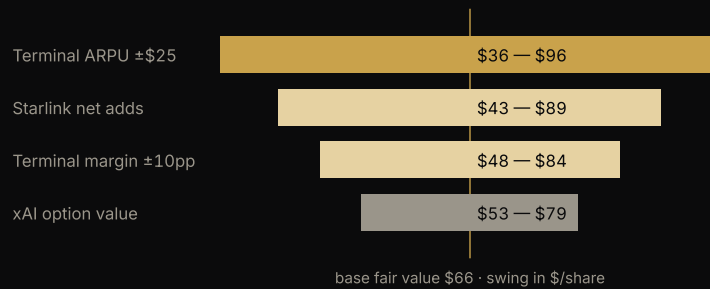
Starlink: subscribers 4.5× in two years while ARPU falls \$99→\$66. Volume-led growth; pricing under pressure. Source: S-1/A.

CONNECTIVITY KPI	FY2023	FY2024	FY2025	Q1'26
Subscribers (M)	2.3	4.4	8.9	10.3
ARPU (\$/month)	99	91	81	66
Segment adj. EBITDA (\$M)	1,602	3,849	7,168	2,087
Segment EBITDA margin	—	~50%	~63%	~62%

The bull/bear hinge: subscriber growth and margin expansion are exceptional, but ARPU is compressing faster than most models assume. If terminal ARPU settles near \$50 in a mass-consumer mix, the Connectivity terminal value is materially lower than the price implies. Magic number, churn, and cohort curves are not disclosed at the granularity to fully close this — a data limitation noted in §17.

08 Business-Model Gearing & Leverage Map

3-input model. Defensible value $\approx$ *Starlink net adds* $\times$ *terminal ARPU* $\times$ *terminal segment margin*. Those three drive ~80% of the underwritable value; Starship and xAI are call options layered on top.



Tornado: terminal ARPU is the single greatest sensitivity — the crux of the Connectivity debate. Illustrative, anchored on the base SOTP.

Operating leverage is concentrated in Connectivity: the constellation is a fixed cost; incremental subscribers carry near-zero marginal cost, so margin expands with scale — the bull mechanism. **Financial leverage** is low (net cash). **Growth leverage** (the launch→constellation→data flywheel) is the qualitative upside the price is paying for.

09 Forecast / Operating Model

We model on a fully-diluted basis with SBC treated as a real cost. Base-case shape (illustrative, driver-based):

BASE CASE	FY25A	FY26E	FY27E	FY30E
Revenue (\$B)	18.7	25.5	33.0	62
— Connectivity	11.4	16.5	22.0	40
— Space	7.1	8.0	9.0	14
— AI	0.2	1.0	2.0	8
FCF margin	neg	neg	~0%	~12%

Assumptions stated quantitatively in the linked model. Self-funding (FCF breakeven) is not reached until ~FY27 in the base case; the bull case pulls it forward, the bear pushes it past FY30. Every terminal-value dollar is back-loaded — the source of the valuation gap.

10 Intrinsic Valuation — DCF & Reverse-DCF

Reverse-DCF (embedded expectations). At \$135 (EV $\approx$ \$1.69T), WACC 10%, terminal growth 4%, the price implies **~\$100B of steady-state free cash flow**. At a 30% FCF margin that is **~\$340B of revenue — ~18 $\times$ FY25 — requiring a ~27% revenue CAGR sustained for 12 years**. SpaceX could become that company. The market is treating a wide distribution of outcomes as the base case.

Forward DCF. Because the entity is FCF-negative today with terminal value dominating, a single consolidated DCF is low-confidence; we use it only to triangulate the SOTP. A 10% WACC, base-case ramp to ~12% FCF margin by FY30 and ~4% terminal growth yields an equity value consistent with the ~\$55–66 SOTP base — i.e., well below the print. WACC build: risk-free ~4.3% (10Y), ERP ~5.0%, beta ~1.4 (de-levered, long-duration), no size premium given mega-cap scale.

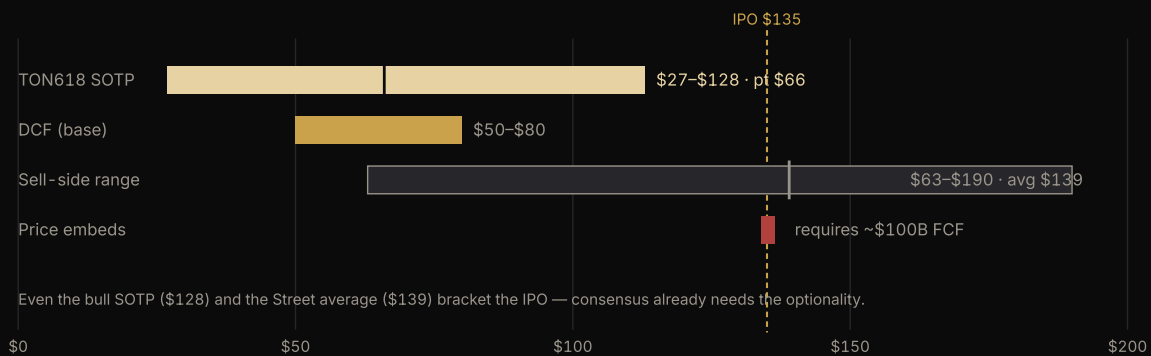
11 Relative Valuation & Street View

No clean public comp exists — that is itself informative. Launch has no listed pure-play; Starlink's nearest analogues are satcom (EchoStar/SES/Viasat — slower, lower-margin, trading ~4–7 $\times$ EBITDA) and high-growth connectivity platforms; xAI maps to frontier-AI private marks. A blunt EV/Revenue of ~90 $\times$ versus ~3–10 $\times$ for satcom and ~15–25 $\times$ for the fastest software compounders frames the premium. We therefore lead with SOTP (§12), not multiples.

REFERENCE POINT	PER SHARE	VS. IPO	STANCE
Oppenheimer (initiation)	190	+41%	Buy — bull case underwritten
First-trade open (11 Jun)	150	+11%	Market clearing
Average sell-side PT	139	+3%	$\approx$ IPO — optionality required
IPO price	135	—	Fixed price
TON618 fair value	66	-51%	Avoid
Morningstar (Owens)	63	-53%	Bearish — corroborates

12 Valuation Synthesis — Football Field

The life-cycle stages differ by segment, so SOTP dominates; we weight it 70%, the triangulating DCF 30%. The consolidated fair-value *range* is \$27–\$128 with a point estimate of \$66 — a range, not false precision.



Football field. The gold marker is the \$66 point estimate; the dashed gold line is the \$135 IPO. Sources: TON618 model; sell-side per public reports.

13 Risk Analysis

RISK	LIKELIHOOD	MAGNITUDE	TYPE
Valuation / multiple compression	High	High	Market
Starlink ARPU erosion & Kuiper competition	Medium	High	Competitive (T)
Capital intensity / sustained negative FCF	High	Medium	Financial
AI (xAI) cash burn fails to clear cost of capital	Medium	High	Execution (T)
Key-person — Elon Musk	Low	Very High	Governance
Starship technical / schedule slippage	Medium	Medium	Tech (T)
Controlled-company governance / dilution	Certain	Medium	Governance (T)
Regulatory / spectrum / geopolitical	Medium	Medium	Regulatory

Market risk. A newly-listed, ~90×-revenue, long-duration equity. We would expect 30-day realized volatility well north of 50% annualized post-listing; a 5th-percentile

12-month outcome below \$40 is plausible on a risk-off + ARPU-disappointment combination.

Steelmanned bear thesis (mandatory). Starlink ARPU settles near \$45–\$50 as consumer mix and Kuiper price-competition bite; Connectivity margins plateau below bull assumptions; Starship consumes capital for years without commercial payoff; xAI burns \$10B+/yr against uncertain monetization; the controlled-company structure suppresses any governance correction; and a liquidity-regime shift compresses the multiple. Fair value falls toward the \$27 bear case — a >70% drawdown from the print. None of this requires SpaceX to fail operationally; it only requires the price to have over-discounted optionality.

14 Catalysts & Monitoring

CATALYST	WINDOW	READ
First post-IPO print (Q2'26)	Aug 2026	ARPU trajectory; AI segment burn rate
Starship orbital/reuse milestones	2H'26+	Validates / breaks the launch optionality
Starlink direct-to-cell scale	2026–27	The mass-market ARPU swing factor
IPO lock-up expiry	~Dec 2026	Supply overhang; insider selling signal
Amazon Kuiper commercial launch	2026–27	First real competitive read on pricing

Invalidation trip-wires (what would change our call): (i) Starlink ARPU stabilizing above \$70 with continued net adds; (ii) AI segment showing a credible path to cash-flow positive; (iii) the stock de-rating below ~\$55, where risk/reward turns favorable. Any two would move us from Avoid toward Hold/Accumulate.

15 ESG & Governance

- **Governance (material).** Dual-class with 10-vote Class B and a controlled-company exemption from Nasdaq independence rules; a non-voting Class C; related-party history (xAI merger, Swarm). Minority Class A holders have

limited recourse. This is the single most important non-financial risk and is priced into our governance discount.

- **Insider ownership.** Musk >50% of votes; high alignment, high entrenchment. Watch Form 4 activity post lock-up.
- **Environmental/social.** Net-positive narrative (global connectivity, reusability reducing launch waste) against orbital-debris, launch-site environmental, and content-moderation (X) scrutiny.

16 Recommendation

AVOID at the IPO / first-trade. Fair value \$66 (base), \$128 (bull), \$27 (bear); probability-weighted \$66, 51% below the \$135 print and ~56% below the \$150 open. We would not initiate a long here.

- **For the Fund:** no core position (non-BTC-correlated). The actionable expression is a *tactical short / put overlay* as a hedge against long-duration tech beta and a liquidity-regime turn — sized small, given borrow cost, squeeze risk on a beloved name, and Musk-headline convexity. Entry discipline matters more than the thesis.
- **Revisit long** below ~\$55, or on ARPU stabilization + AI cash-flow visibility.
- **Expected value:** $0.25(\$128) + 0.50(\$55) + 0.25(\$27) = \66 . The asymmetry (−80% bear vs. −5% bull) is the whole point: you are paid little to be right and lose much to be wrong.

17 Disclosures & Data Integrity

Primary source. SpaceX Form S-1/A, filed 3 June 2026 (SEC accession 0001628280-26-040364; CIK 0001181412), the operative amended prospectus; original S-1 filed 20 May 2026. Market/analyst context per public reporting (NPR, Morningstar, Oppenheimer via aggregators), retrieved 12 June 2026. All financial figures are as-of 31 March 2026 (Q1'26) or fiscal-year-end as labelled. The full Source & Evidence Log is the Phase 0 `manifest.json` in the linked data snapshot.

Key assumptions & limitations. SOTP segment multiples and the scenario probabilities (25/50/25) are TON618 judgments, stated explicitly. Total debt of ~\$20B is an estimate pending full balance-sheet extraction; net-cash sensitivity is <5% of equity value. Starlink churn, cohort retention, and magic-number are not disclosed at full granularity. The DCF is low-confidence given terminal-value dominance and is used only to triangulate the SOTP.

Conflicts. TON618 Capital holds no SPCX position as of the report date. The Fund is a Bitcoin fund; SPCX is not a fund holding or a BTC-correlated instrument. **Version** 1.0 · analyst: TON618 Equity Research · generated by the ton618-tech-valuation tool.

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